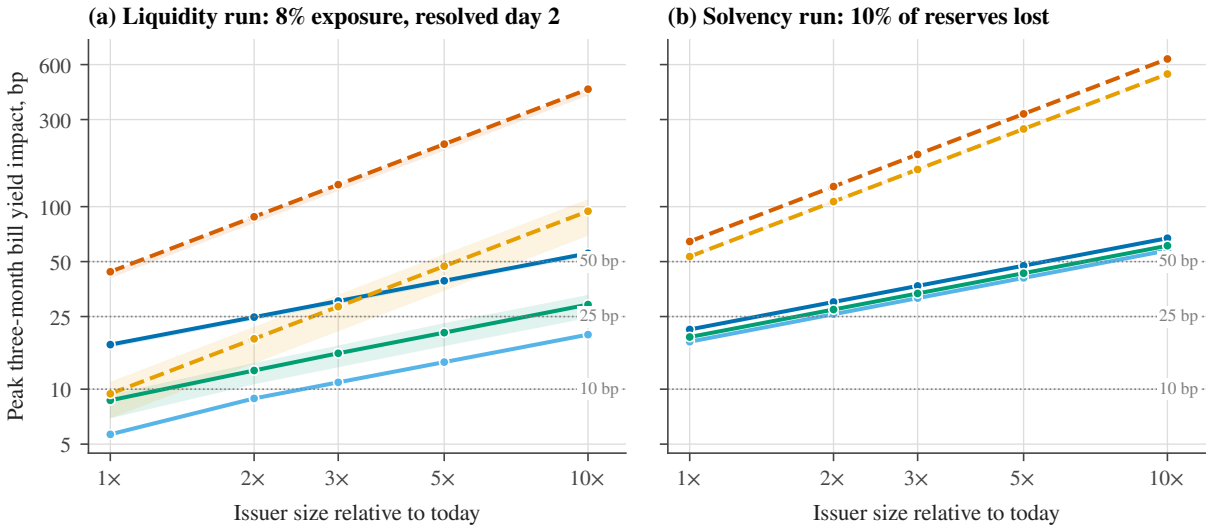
(a) Liquidity run: 8% exposure, resolved day 2
(b) Solvency run: 10% of reserves lost
Peak three-month bill yield impact, bp
600
300
100
50
25
10
5
50 bp
25 bp
10 bp
1×
2×
3×
5×
10×
Issuer size relative to today
Square-root impact, calibrated rails (1.2%/day)
Square-root impact, fast rails (5%/day)
Square-root impact, instant rails (20%/day)
Linear impact (upper bound), calibrated rails
Linear impact (upper bound), instant rails